Practice workbook · Calculating price elasticity of supply (PES)

Computing PES as %change in quantity supplied divided by %change in price, including rearranging for the quantity change.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-CALC-04

1. Question 1 · part f · 2 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part f only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Taxation
- ☒ **B** Gym workout
- ☒ **C** Enterprise
- ☒ **D** Restaurant meal

A firm charges a price of $160 per item and has average costs of $120 per item. It sells 20 000 items.

(b) What is the total revenue for the firm?

(1)

- ☒ **A** $19 200
- ☒ **B** $20 160
- ☒ **C** $2 400 000
- ☒ **D** $3 200 000

(c) What is meant by the term normal good?

(2)

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1. Question 1 · part f · 2 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part f only.

(d) State the formula for social benefits.

(1)

(e) Define the term niche market.

(1)

Greg produces pottery at a small factory in his local area. At the start of the year price increased by 5.4% and quantity supplied increased by 4.7%.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for Greg's pottery. You are advised to show your working.

(2)

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1. Question 1 · part f · 2 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part f only.

(g) Using the diagram below, draw the likely effects on the market for apples following a decrease in the price of bananas. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

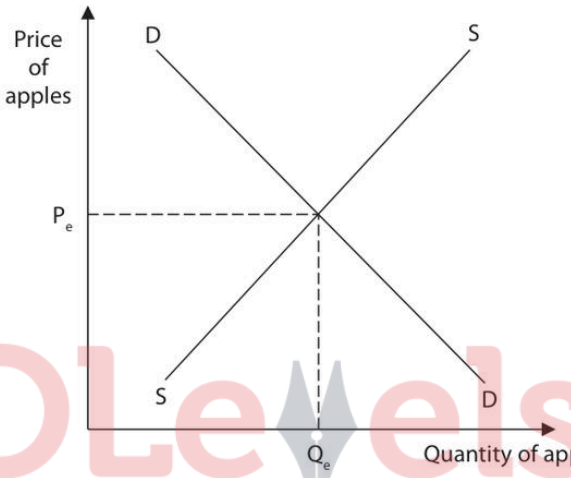


Figure 1

Warehouse employees at a small firm in Malta specialise in one task, such as sealing boxes, for orders that are sent to consumers.

(h) Explain **one** disadvantage of the division of labour for the warehouse employees.

(3)

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1. Question 1 · part f · 2 marks · Working and answer

Working and answer

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2. Question 1 · part f · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

1 (a) Which **one** of the following is a feature of an oligopoly?

(1)

- ☒ **A** Large firms dominate
- ☒ **B** Unique product
- ☒ **C** One firm dominates
- ☒ **D** No barriers to entry

(b) A firm has monthly total costs of $150 000 and monthly fixed costs of $90 000. If it produces 1,000 units, what are the monthly total variable costs for the firm?

(1)

- ☒ **A** $60
- ☒ **B** $90
- ☒ **C** $60 000
- ☒ **D** $240 000

(c) What is meant by the term luxury good?

(2)

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2. Question 1 · part f · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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(d) State **one** factor that would affect price elasticity of supply (PES).

(1)

(e) Define the term substitute good.

(1)

Small but successful

Robert has been running a small business from a workshop in his own house for nine years. He has been carving door signs and gifts out of locally sourced wood. Rather than producing identical, standard items, he decided to only make products to meet the personal requirements of his customers. Each order is made specifically for them and reviews are very positive. Robert's success is due to a growing trend across the country as consumers increasingly prefer to buy locally sourced products.

(f) Calculate the price elasticity of supply for Robert's wooden door signs when the price increases by 5.2% and quantity supplied increases by 3.9%. You are advised to show your working.

(2)

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2. Question 1 · part f · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(g) Using the diagram below, draw the effects on the market for locally sourced goods of more customers preferring to buy from local firms. Label the new curve, new equilibrium price and new equilibrium quantity.

(3)

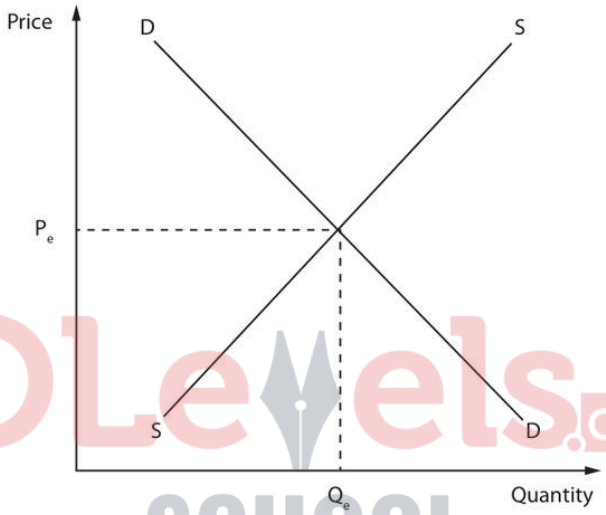


Figure 1

Robert is the only business specialising in handmade door signs in the local area.

(h) Explain **one** disadvantage for customers of Robert being the only local firm specialising in handmade door signs.

(3)

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2. Question 1 · part f · 2 marks · Working and answer

Working and answer

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3. Question 2 · part d · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part d only.

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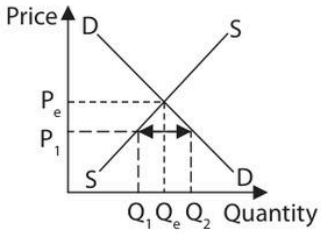
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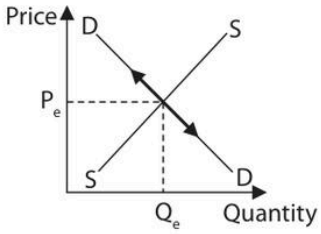
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

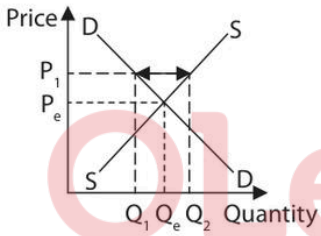
☒ **A**



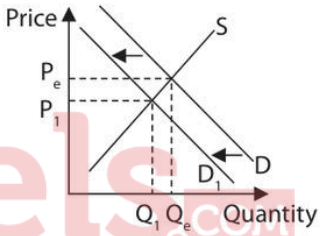
☒ **B**



☒ **C**



☒ **D**



(b) Land can be described as which **one** of the following?

(1)

☒ **A** A diseconomy of scale

☒ **B** A factor of production

☒ **C** A variable cost

☒ **D** A market failure

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3. Question 2 · part d · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part d only.

(c) State the formula for profit.

(1)

(d) Calculate the **price elasticity of supply (PES)** for a product when price increases by 30% and quantity supplied increases by 36%. You are advised to show your working.

(2)

(e) Define the term finance.

(1)

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3. Question 2 · part d · 2 marks · Working and answer

Working and answer

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4. Question 2 · part d · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part d only.

2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

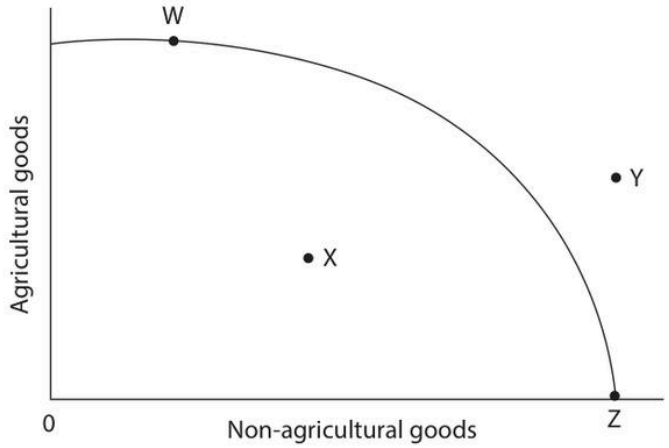


Figure 2

(a) Which **one** of the following points shows unemployed resources? **(1)**

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) A trade union is an organisation that aims to protect **(1)**

- ☒ **A** consumer interests
- ☒ **B** the environment
- ☒ **C** employee rights
- ☒ **D** the government

(c) State **one** reason why firms stay small. **(1)**

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4. Question 2 · part d · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part d only.

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A firm increases supply by 2.7% following a price increase of 4.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(e) Define the term price-maker.

(1)

(f) Describe **one** reason why a computer can be a factor of production.

(2)

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P 6 5 8 9 7 R A 0 7 2 0

4. Question 2 · part d · 2 marks · Working and answer

Working and answer

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5. Question 1 · part f · 2 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

1 (a) Water is an example of which factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Labour
- ☒ **C** Capital
- ☒ **D** Enterprise

(b) A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the **profit** for the firm?

(1)

- ☒ **A** $5300
- ☒ **B** $6000
- ☒ **C** $13700
- ☒ **D** $14000

(c) What is meant by the term supply?

(2)

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5. Question 1 · part f · 2 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

(d) State **one** type of an external economy of scale.

(1)

(e) Define the term unique product.

(1)

Connor owns a hair salon. He increased prices by 2% and was willing to increase quantity supplied by 2.6%.

(f) Calculate the **price elasticity of supply (PES)** for Connor's hair salon. You are advised to show your working.

(2)

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5. Question 1 · part f · 2 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

(g) Using the diagram below, draw the likely effect on the market for luxury holidays after a fall in income. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

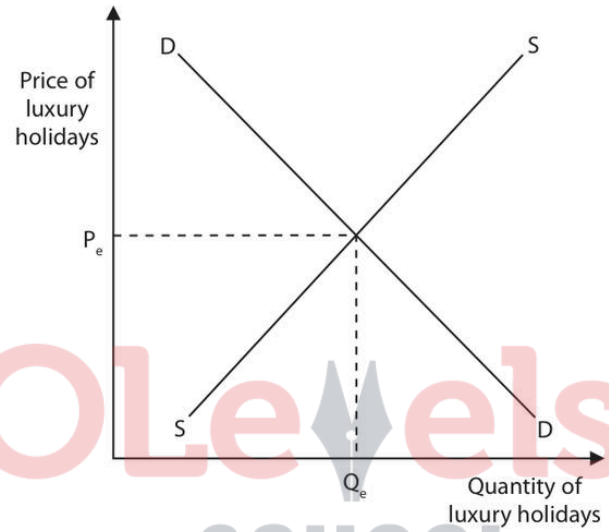


Figure 1

Government-owned Angola Telecom is to be privatised in an attempt to make the industry more efficient.

(h) Explain **one** possible disadvantage of privatisation for workers in the telecoms industry in Angola.

(3)

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5. Question 1 · part f · 2 marks · Working and answer

Working and answer

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6. Question 2 · part d · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part d only.

2 (a) Which **one** of the following would occur when there are unsold goods in a market?

(1)

- ☒ **A** Excess demand
- ☒ **B** Excess supply
- ☒ **C** Higher prices
- ☒ **D** Increased productivity

(b) Which **one** of the following statements is correct?

(1)

- ☒ **A** The supply curve is always vertical
- ☒ **B** Supply and price are not related
- ☒ **C** Quantity supplied will fall when price falls
- ☒ **D** An increase in price will shift the supply curve

(c) State the name for price elasticity of demand (PED) with a numerical value of –1.

(1)

A factory producing shoes calculated that quantity supplied decreased by 2.7% following a price decrease of 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working.

(2)

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6. Question 2 · part d · 2 marks

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Further practice · Attempt part d only.

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(e) Define the term substitute.

(1)

(f) Describe **one** reason why a firm might stay small.

(2)

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There are many market stalls selling food in Taba, Egypt. Some of these stalls have received positive reviews on social media about the quality of the food they sell.

(g) Explain **one** advantage of positive reviews for the owners of food stalls in Taba.

(3)

6. Question 2 · part d · 2 marks · Working and answer

Working and answer

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7. Question 1 · part f · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

1 (a) A trade union is an organisation that aims to improve

(1)

- ☒ **A** profit margins
- ☒ **B** tax revenue
- ☒ **C** the environment
- ☒ **D** working conditions

(b) Figure 1 below shows a change in demand for tickets to a sporting event.

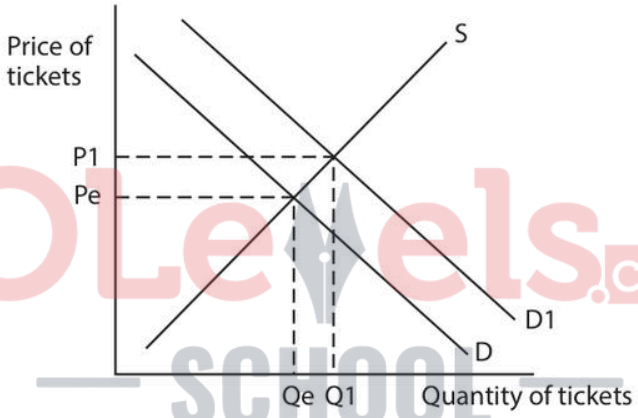


Figure 1

Which **one** of the following statements is true?

(1)

- ☒ **A** When the price falls, the quantity demanded falls
- ☒ **B** The demand curve slopes upwards from left to right
- ☒ **C** An increase in demand is shown by a shift to the right
- ☒ **D** A decrease in demand is shown by a shift to the right

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7. Question 1 · part f · 2 marks

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Further practice · Attempt part f only.

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(c) What is meant by the term economies of scale?

(2)

(d) State **one** main feature of an oligopoly.

(1)

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(e) Define the term excess supply.

(1)

7. Question 1 · part f · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

A firm increases supply by 4.3% following a price increase of 3.7%.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

Figure 2 shows the market for electric cars.

(g) Using the diagram below, draw the likely effects on the market for electric cars following the introduction of a subsidy on electric cars. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

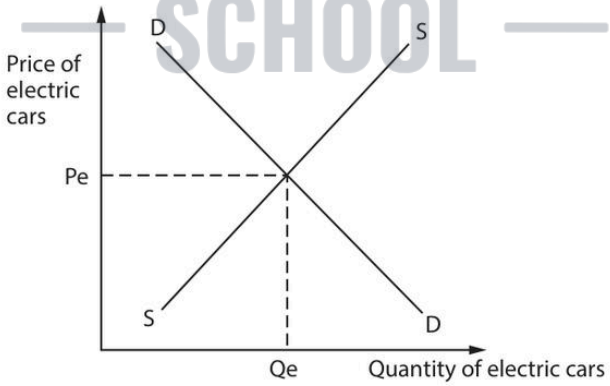


Figure 2

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7. Question 1 · part f · 2 marks · Working and answer

Working and answer

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8. Question 2 · part c · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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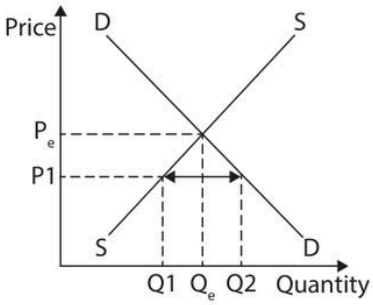
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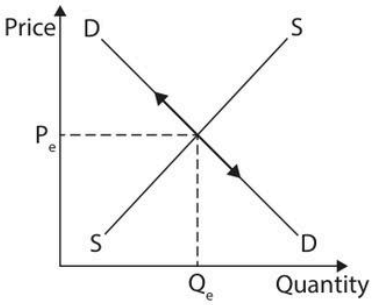
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

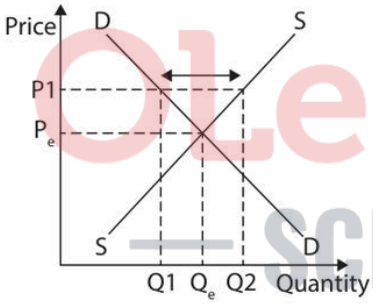
☒ **A**



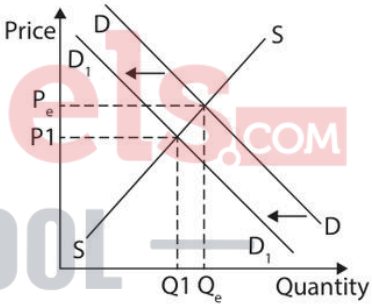
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of an oligopoly?

(1)

☒ **A** There is only one firm in the market

☒ **B** Firms always act independently

☒ **C** Different products are sold

☒ **D** No barriers to entry are present

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8. Question 2 · part c · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(c) Calculate the **percentage change in quantity supplied** for a product if the price elasticity of supply (PES) is 1.5 and the price increases by 12%. You are advised to show your working.

(2)

(d) What is meant by the term social costs?

(2)

(e) Describe **one** reason why innovation may be more likely to occur in a monopoly.

(2)

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8. Question 2 · part c · 2 marks · Working and answer

Working and answer

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9. Question 1 · part f · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

1 (a) Which **one** of the following is a definition of opportunity cost?

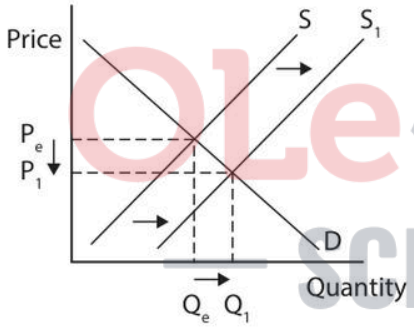
(1)

- ☒ **A** Rivalry that exists between firms
- ☒ **B** Investment in capital goods
- ☒ **C** The next best alternative given up
- ☒ **D** Unused resources

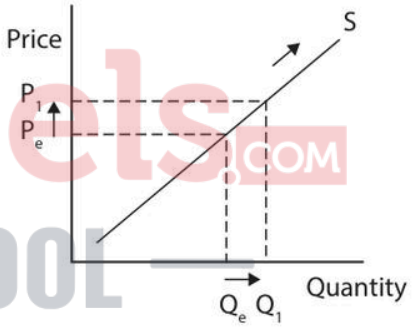
(b) Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers?

(1)

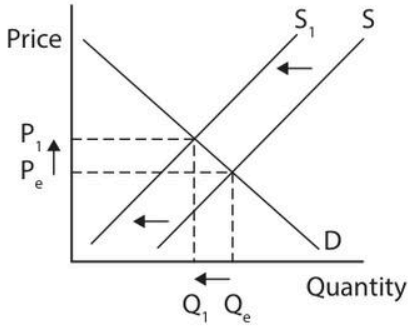
☒ **A**



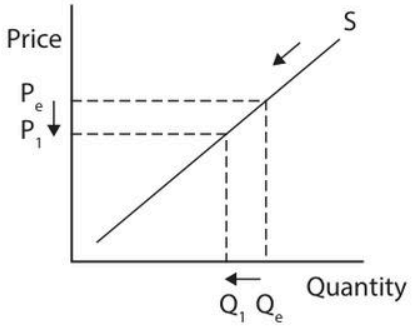
☒ **B**



☒ **C**



☒ **D**



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9. Question 1 · part f · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

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(c) What is meant by the term external benefit?

(2)

(d) State **one** example of an external cost.

(1)

(e) Define the term takeover.

(1)

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9. Question 1 · part f · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part f only.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for a good if price decreases by 9.4% and quantity supplied decreases by 3.7%. You are advised to show your working.

(2)

Figure 1 shows the market for rice.

(g) Using the diagram below, draw the likely effect of an increase in the population on the market for rice. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

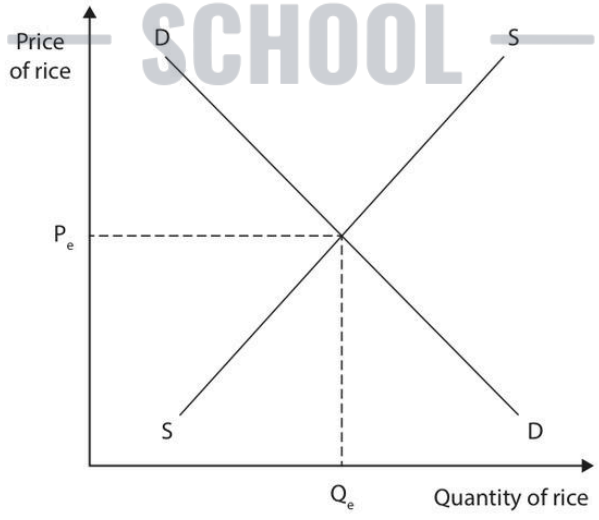


Figure 1

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9. Question 1 · part f · 2 marks · Working and answer

Working and answer

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10. Question 2 · part c · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

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2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

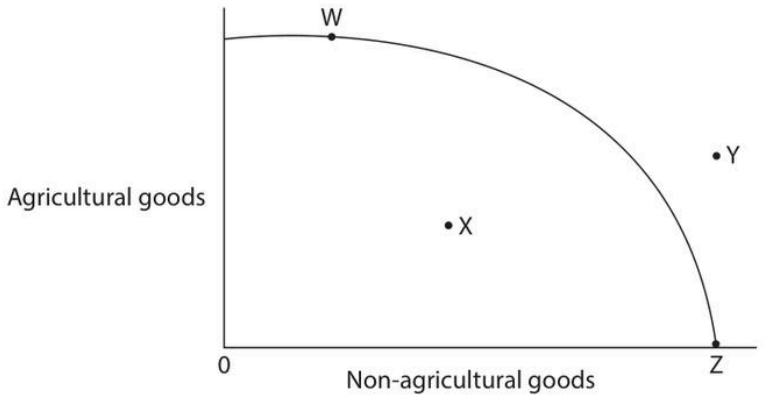


Figure 2

(a) Which **one** of the following options shows unobtainable production?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

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(b) Which **one** of the following is a factor that may affect the supply of labour?

(1)

- ☒ **A** Age distribution of population
- ☒ **B** Economies of scale
- ☒ **C** Firms aiming to maximise profit
- ☒ **D** Long run average costs

10. Question 2 · part c · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

A firm increases supply by 5.4% following a price increase of 7.8%.

(c) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(d) What is meant by the term innovation?

(2)

(e) Describe **one** reason why a car mechanic is a factor of production.

(2)

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10. Question 2 · part c · 2 marks · Working and answer

Working and answer

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